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8 IN THE UNITED STATES DISTRICT COURT
9 SOUTHERN DISTRICT OF CALIFORNIA

10 JAVID NAGHDI,

11 Petitioner,

12 v.

13 UNITED STATES OF AMERICA,

14 Respondent.

)
) Criminal No. 88-0768-K
) Civil No. 96-1528-K

) POINTS AND AUTHORITIES
) IN SUPPORT OF OPPOSITION
) TO PETITION FILED UNDER
) 28 U.S.C. § 2255

15 I

16 NATURE OF THE CASE

17 On September 5, 1996, Petitioner Javid Naghdi (hereinafter
18 referred to alternative as "Petitioner" or "Naghdi") has filed a
19 motion under Title 28, United States Code, Section 2255 contending
20 his nine count wire fraud conviction should be set aside because
21 of improper conduct by this Court and defense counsel. In his
22 motion, Petitioner raised four specific grounds for relief.

23 1) The trial court erred when it found Naghdi to be an
24 organizer, pursuant to USSG § 3B1.1(a).

25 2) The trial court erroneously utilized intended, rather
26 than actual, loss when calculating Petitioner's sentence.

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3) The trial court erred in considering the Los Angeles guilty plea at the sentencing phase of Petitioner's trial.^{1/}

4) The attorney who represented Petitioner at trial was incompetent.^{2/}

II

STATEMENT OF FACTS

On June 26, 1987, in Los Angeles, California, Petitioner pled guilty to four counts charging him with conspiracy, manufacturing, and distributing a counterfeit drug, and trafficking in goods bearing counterfeit trademarks ("Los Angeles case") (RT Page 58).^{3/} Naghdi then failed to appear for sentencing on August 3, 1987. On that date, the district court issued a no-bail arrest warrant for Petitioner (RT 135-137).

On August 8, 1988, the United States Department of State sent a telex to the American Embassy in London, England, instructing them to request a provisional arrest warrant for Petitioner based on his conduct in the Los Angeles Case (RT Page 171 - 182). Then on August 11, 1988, Scotland Yard arrested Petitioner pursuant to

^{1/} Petitioner alleges that such consideration amounted to a separate prosecution for conduct that Naghdi was not specifically extradited for, and thus, the conviction is in violation of the extradition treaty with the United Kingdom.

^{2/} Petitioner argues that his attorney was incompetent because he: (1) failed to present Petitioner's public authority defense; (2) failed to object to Petitioner being characterized as an organizer under the USSG; (3) failed to object to the court utilization of intended loss at sentencing; and (4) failed to object to the court's violation of the extradition treaty with the United Kingdom.

^{3/} "RT" refers to the reporter's transcripts of the trial and related proceedings. The trial transcripts are identified by use of Roman numerals respectively as:

1 the provisional warrant (RT 186 - 187). Thereafter, Petitioner
2 was extradited to the United States so that he could: (1) be
3 sentenced for the Los Angeles case; and (2) stand trial in the
4 present case.

5 During pretrial proceedings, Petitioner raised numerous
6 objections. In particular, on November 15, 1989, Petitioner
7 raised a "public authority" defense. On that date, he submitted
8 the first of two notices pursuant to Federal Rule of Criminal
9 Procedure 12.3.

10 On December 1, 1989, the CIA and NSA received Rule 17(c)
11 subpoenas authorized by this Court based upon Petitioner's
12 previous counsel's ("counsel") affidavit. On December 4, 1989,
13 the government responded to the two subpoenas. Neither agency had
14 any information relating to the listed operations. In fact,
15 neither agency had any information related to Petitioner.

16 On January 30, 1990, this Court held a hearing to determine
17 whether to issue 17(b) subpoenas for a variety of high United
18 States Government Officials. At that hearing this Court ordered
19 Petitioner to file a notice pursuant to the classified information
20 and Procedure Act ("CIPA") the following day. Despite
21 Petitioner's failure to comply with CIPA, the Court agreed to
22 issue seven of the eighteen requested subpoenas.

23 On January 31, 1990, the Court reconsidered its ruling from
24 the previous day. The Court found that Petitioner had not
25 produced sufficient evidence to demonstrate that the subpoenas
26 were relevant and necessary. The Court held that absent
27 corroboration, it would issue the subpoenas only if Petitioner
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1 signed an affidavit demonstrating the relevance of the subpoenas.
2 On February 1, 1990, Petitioner refused to file such an affidavit
3 for fear of later perjury charges.^{4/}

4 On February 12, 1990, out of the presence of the jury, the
5 Court held another hearing on the propriety of issuing the Rule
6 17(b) witness subpoenas. Once again, the Court rejected the
7 issuance of the subpoenas, as there was simply no evidence to
8 support the issuance.

9 Petitioner's jury trial began on February 6, 1990, and the
10 jury returned a verdict on February 28, 1990. Subsequently, on
11 May 7, 1990, Petitioner was sentenced to fourteen years in prison,
12 which was imposed consecutively to a five year sentence imposed in
13 the Central District of California based on the Los Angeles case.

14 At the sentencing phase of Petitioner's trial this Court
15 found the total offense level to be "thirty-one, the criminal
16 history score . . . three, which means that his [Naghdi]
17 guidelines would be a hundred and thirty-five to a hundred and
18 sixty-eight months." (RTS at 54)^{5/}. In imposing the high end of
19 the range, the Court found that:

20 [T]his fraud was so callous and so extensive and so
21 vast; he basically learned nothing on the Los Angeles
22 case. It was - there's an element of cruelty in this
23 offense that it is not taken account of in the
24 guidelines. And the cruelty is the fact that Mr.
25 Naghdi, as a pharmacist, or a trained person in

24 ^{4/} In requiring the affidavit, the Court noticed that
25 Petitioner's previous subpoenas had failed to produce any relevant
26 evidence.

26 ^{5/}"RTS" refers to the reporter's transcript of the sentencing
27 hearing.

1 pharmacology, would understand the danger of giving
2 persons with ulcers, aspirin.

3 I mean, somebody that was a pharmacist knew the danger
4 of what he was doing and he did not care and I find it was
5 one of the most callous cruel, insensitive crimes I've ever
6 seen. And under the circumstances, I feel that Mr. Naghdi
7 deserves the high end of the guidelines I found. (Id.)

8 The offense level was initially set at level six. The base
9 offense level was then increased by eleven based upon an intended
10 loss of \$606,002,292.^{6/}

11 The Court determined the \$606,002,292 loss figure by adding
12 the amount of Petitioner's proposed sale of counterfeit Tagamet,
13 Anspor, and Naprosyn to Belrico (\$579,002,292) to the amount of
14 his sale of counterfeit Tagamet to the undercover agent
15 (\$27,000,000). In computing the guidelines, the Court next added
16 two points for conduct involving more than minimal planning under
17 USSG § 2(f)(1.1)(B)(2)(a), and two points for Naghdi's use of
18 special skill under USSG § 3(b)(1.3).

19 Finally, the Court found that Naghdi was an "organizer"
20 within the meaning of the guidelines.^{7/} Although Petitioner's
21 counsel argued that another coconspirator, Jack Russell was the
22 "organizer", the Court disagreed. The Court found that "Mr.
23 Naghdi was the organizer of this fraud, unquestionably the
24 organizer of this fraud." (RTS at 48). The Court then went on to
25 find that the fraud was otherwise extensive, and that Naghdi was

26 ^{6/} The court used an arithmetic progression for the portion
27 of loss over five million dollars that increased the offense level
28 by 6 points.

^{7/} At this time, the government also argued that the fraud
was otherwise extensive as defined by the guidelines.

1 in fact eligible for "organizer" points. Thus, four points were
2 added to the offense level.^{8/}

3 III

4 ARGUMENT

5 A. THIS COURT CORRECTLY FOUND NAGHDI TO BE AN 6 ORGANIZER FOR SENTENCING PURPOSES

7 According to the United States Sentencing Commission,
8 Guidelines Manual, Ch.3, Pt.B, intro. comment.(1988), a sentencing
9 court may apply Section 3B1.1 of the Federal Sentencing Guidelines
10 ("§ 3B1.1"), when "an offense is committed by more than one
11 participant". USSG § Ch.3, Pt.B, intro. comment. However,
12 Petitioner mistakenly asserts that Application Note 2 of § 3B1.1
13 ("Application Note 2") requires a sentencing court to find that
14 there were at least three "participants" involved in the fraud
15 before it can consider an organization to be "otherwise
16 extensive", as defined in subsection (a) of § 3B1.1 ("subsection
17 (a)").^{9/} Application Note 2 to the United States Sentencing
18 Commission, Guidelines Manual, §3B1.1(1988) states that;

19 [i]n assessing whether an organization is "otherwise
20 extensive," all persons involved during the course of
21 the entire offense are to be considered. Thus, a fraud
22 that involved only three participants but used the
23 unknowing services of many outsiders could be considered
24 extensive. USSG §3B1.1, comment. (n.2)(emphasis added).

25 ^{8/} In the presentence report ("PSR") the probation officer
26 noted that an upward adjustment was warranted for several reasons.
27 As noted above by this court the reason for departure was the
28 magnitude of the fraud and the risk of physical and psychological
injury.

^{9/}"If the defendant was an organizer or leader of a criminal
activity that involved five or more participants or was otherwise
extensive, increase by 4 levels." USSG § 3B1.1(a).

1 Nowhere does Application Note 2 state that a finding of three
2 "participants" is a requirement of the "otherwise extensive"
3 provision of subsection (a). Instead, it states that "all persons
4 involved . . . are to be considered" when determining the
5 applicability of the "otherwise extensive" provision. The use of
6 the words "all" and "are", suggest that the "otherwise extensive"
7 provision is to be determined under the totality of the
8 circumstances, and that a rigid numerical requirement is to be
9 avoided. This interpretation is highlighted by the fact that the
10 "otherwise extensive" provision is an alternative to the rigid
11 "five or more" standard stipulated in the first half of subsection
12 (a).^{10/}

13 The second sentence of Application Note 2 further supports
14 the notion that the "otherwise extensive" provision does not
15 create a rigid numerical requirement. The second sentence merely
16 exemplifies one situation in which this provision may be applied.
17 For example, the use of the word "could" suggests that the
18 Sentencing Commission only intended to provide the reader with an
19 example of one possible application, and not a requirement.

20 This interpretation is also supported and clarified by the
21 subsequently added Application Note 2 to §3B1.1.^{11/} In pertinent
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23 ^{10/} Additionally, the lack of a minimum participant
24 requirement in the wording of the provision itself, and the
25 placement of a minimum "participant" requirement in the
26 introductory commentary, also suggest that Application Note 2 does
27 not mandate a three "participant" minimum requirement.

28 ^{11/}The previous Application Note 2 is now Application Note 3,
and remains unchanged.

part the new Application Note 2 states that "[t]o qualify for an adjustment under this section, the defendant must have been the organizer . . . of one or more other participants." USSG § 3B1.1, comment. (n.2) (Nov. 1995). Since, the addition of the above Application Note does not change the substance of §3B1.1, it should be retroactively applied for clarification purposes. United States v. Flores, 93 F.3d 587, 591, (9th Cir. 1996); United States v. Kimple, 27 F.3d 1409, 1412 (9th Cir. 1994).^{12/}

Even Petitioner's own supporting cases on the issue, recognize the minimum requirement set by the Introductory Commentary. In Petitioner's most recent case, Anderson, the Ninth Circuit held that "§ 3B1.1 only applies when the offense is committed by more than one person who is criminally responsible for the commission of the offense." United States v. Anderson, 942 F.2d 606, 617 (9th Cir. 1991), *abrogated on other grounds*, 508 U.S. 36 (1993).

Petitioner fails to recognize that the Ninth Circuit has stated that the USSG §3B1.1(a), organizer characterization, is not susceptible to the very interpretation asserted by Petitioner. United States v. Leung, 35 F.3d 1402, 1407 (9th Cir. 1994), *cert. denied*, ___ U.S. ___, 115 S.Ct. 954. In Leung, the court stated that:

[a]lthough, as Wai Chong contends, Application Note 3 [previously Application Note 2] refers to the number of people involved or connected with the conspiracy,

^{12/}"If a court . . . applies an earlier Guidelines Manual . . . subsequent amendments are given retroactive effect if they make clarifying rather than substantive changes." United States v. Flores, 93 F.3d 587, 591 (9th Cir. 1996).

1 nothing in the text of 3B1.1 or the Application Notes
2 expressly limits the relevant inquiry to the number of
3 persons involved in the criminal activity. Moreover,
the phrase 'otherwise extensive' is not susceptible to
such a narrow interpretation. Id.

4 Although, Leung, was decided under a later version of the Federal
5 Sentencing Guidelines, nothing substantive has changed. The
6 relevant sections are still intact, and the only pertinent change
7 is the addition of the clarifying Application Note 2. Because the
8 new Application Note 2 only clarifies the previous Guidelines, and
9 does not add anything, it should be retroactively applied.
10 Flores, *supra*.

11 B. THE DISTRICT COURT CORRECTLY DETERMINED THE
12 AMOUNT OF LOSS TO BE SIX HUNDRED AND SIX
13 MILLION, AND TWO THOUSAND, TWO HUNDRED
NINETY-TWO DOLLARS

14 Petitioner would have this Court believe that the proper
15 calculation of the amount of loss is only the actual amount lost.
16 However, this view is contradicted by both the Application Notes
17 to § 2F1.1 of the USSG (1988) ("§ 2F1.1"), and the extant Ninth
18 Circuit precedent.

19 Section 2F1.1, Application Note 7 ("Application Note 7")
20 provides that "[i]n keeping with the Commission's policy on
21 attempts, if a probable or intended loss that the defendant was
22 attempting to inflict can be determined, that figure would be used
23 if it were larger than the actual loss." (emphasis added).
24 Further, Application Note 8 of § 2F1.1 states that "[t]he amount
25 of loss need not be precise . . . [t]he court need only make a
26 reasonable estimate of the range of loss, given the available
27 information. . .[and finally] [t]he offender's gross gain from

1 committing the fraud is an alternative that ordinarily will
2 understate the loss." (emphasis added).

3 Since an offender's "gross gain" is an appropriate
4 alternative to loss valuation, the "intended" or "probable"
5 reasoning announced in note 7, should also apply to "gross gain".
6 Consequently, because the "intended" gross gain of the offender is
7 a proper method with which to determine the appropriate loss
8 valuation, the district court did not err.

9 "Under section 2F1.1 of the Guidelines, the district court is
10 to use the 'probable or intended' loss resulting from the crime or
11 attempt, not the actual loss sustained." United States v.
12 Hernandez, 952 F.2d 1110, 1118 (9th Cir. 1991), *cert. denied*, 506
13 U.S. 920 (1992), quoting United States v. Davis, 922 F.2d 1385,
14 1391 (9th Cir. 1991). The "amount of loss ordinarily should
15 reflect the estimated market value of the goods." Id. Hernandez
16 also recognized that the profit lost by victims is not a mandatory
17 valuation for sentencing purposes and that it was reasonable to
18 use the market value of counterfeited tapes instead of the profit
19 lost by the recording industry. Id. at 1118-19. Finally, the
20 court in Hernandez, recognized that the Sentencing Guidelines do
21 not require the valuation of loss to be precise. Id. at 1118.

22 Petitioner's allegation that the district court erred in its
23 upward adjustment, past level 11, is also without merit.
24 Application Note 10 of § 2F1.1, provides that "[t]he adjustments
25 for loss do not distinguish frauds involving losses greater than
26 \$5,000,000. Departure above the applicable guideline may be
27 warranted if the loss *substantially* exceeds that amount."

(emphasis added). It is doubtful, that even Petitioner would argue that a loss in excess of \$600,000,000 is not substantial in excess of \$5,000,000.

Petitioner's reliance on § 2F1.1 Application Note 9(f) is completely misplaced. Application Note 9, states that because the "[d]ollar loss often does not capture the harmfulness and the seriousness of the conduct . . . an upward adjustment may be warranted. Examples may include the following: (f) completion of the offense was prevented, or the offense was interrupted before it caused serious harm." Although, the district court could have applied section (f), it decided to base its decision on subsection (c). The district court explicitly found that "the offense caused or risked physical or psychological harm," which according to note 9(c) may warrant an upward adjustment (RTS at 54). Pursuant to either, subsection (c) or (f) the district court would have been authorized to make an upward adjustment, and thus the district court did not err.^{13/}

C. THE DISTRICT COURT DID NOT ERR WHEN IT CONSIDERED NAGHDI'S PAST CRIMINAL HISTORY AT NAGHDI'S SENTENCING HEARING

Petitioner correctly notes that pursuant to the applicable extradition treaty, and the Specialty Doctrine, the requesting nation may not prosecute an extradited defendant for crimes other than those which were granted by the extraditing country.

^{13/} Finally, petitioner offers no precedent to support his fanciful argument that a failure to find one possible applicable subsection negates the application of another applicable subsection.

1 However, Naghdi was not prosecuted for crimes other than those
2 which were granted for extradition. Petitioner offers no evidence
3 to support his allegation that he was not extradited for the Los
4 Angeles case. Second, Naghdi's conviction was based solely upon
5 the Belrico and Owens & Miner deals, the crimes for which he was
6 extradited. (RTS at 50).

7 The Supreme Court recently recognized that the criminal
8 history portion of the Federal Sentencing Guidelines is a
9 sentencing enhancement regime "evinced the judgement that a
10 particular offense should receive a more serious sentence within
11 the authorized range if it was . . . preceded by additional
12 criminal activity." Witte v. United States, __ U.S. __, 115 S.Ct.
13 2199, 2208 (1995). The Court then held that "where the
14 legislature has authorized such a particular punishment range for
15 a given crime, the resulting sentence within that range
16 constitutes punishment *only for the offense of conviction* for
17 purposes of the double jeopardy inquiry." Id. (emphasis added).
18 Pursuant to explicit holding of the Supreme Court, it is clear
19 that Naghdi was not prosecuted at the sentencing phase for the Los
20 Angeles crime.

21 The Introductory Commentary to § 4A specifically recognizes
22 that prior criminal behavior is directly relevant to the
23 determination of future dangerousness, and must be considered.
24 Thus, at the sentencing phase of the trial, after Naghdi's
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conviction, this Court appropriately considered Naghdi's criminal history, when deciding the appropriate sentence.^{14/}

However even if Naghdi was prosecuted for the Los Angeles case, Petitioner's claim still fails short. Petitioner has offered no evidence which shows that he was not in fact extradited for the Los Angeles case. In fact the evidence suggests that the opposite of Petitioners allegation is true. At a status hearing Officer Challis, of Scotland Yard, testified as to the existence of flight charges in the extradition warrant. (RTMH I at 4)^{15/}. At that hearing Counsel asked Challis about the extradition arrest warrant. Id. In pertinent part the line of questioning is as follows:

Q. Was there actually an extradition warrant issued before his arrest?

A. Yes.

Q. [W]ere you aware of any other charges other than flight pending against him in the United States prior to his arrest?

A. I was aware that there may be further charges. Exactly what, I didn't know.

Id.

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^{14/} This court explicitly found that the Los Angeles crime and the Belrico/Owens & Miner crime did not involve the same counterfeiting scheme, and thus, "[t]hey were separate cases." (RTS at 50). In other words, this court recognized that the Belrico/Owens & Miner conviction was not based upon the Los Angeles criminal conduct.

^{15/}"RTMH I" refers to the reporter's transcript of the status hearing held on December 5, 1989.

1 D. PETITIONER'S PREVIOUS COUNSEL DID NOT VIOLATE
 2 PETITIONER'S SIXTH AMENDMENT RIGHT TO
 3 COMPETENT ASSISTANCE OF COUNSEL

4 1. Introduction

5 To prevail on an ineffective assistance of counsel claim,
 6 petitioner must show that counsel's actions or omissions fell
 7 below the prevailing professional norm. Strickland v. Washington,
 8 466 U.S. 668, 688 (1984). Pursuant to the standards set forth by
 9 the Supreme Court, the petitioner must demonstrate that counsel's
 10 actions were outside the wide range of professional competent
 11 assistance, and that the defendant was prejudiced by reason of
 12 counsel's actions. Lockhart v. Fretwell, 506 U.S. 364, 368
 13 (1993); Strickland v. Washington, 466 U.S. at 687. Furthermore,
 14 "[t]here is a strong presumption that counsel's performance falls
 15 within the 'wide range of professional assistance,' [citation
 16 omitted]." Kimmelman v. Morris, 477 U.S. 365, 381 (1986); Smith
 17 v. Ylst, 826 F.2d 872, 875 (9th Cir. 1987) ("there is a strong
 18 presumption that a lawyer is competent and that presumption must
 19 be overcome with concrete evidence"), cert. denied, 488 U.S. 829
 20 (1988).

21 "[E]very effort [must] be made to avoid the distorting
 22 effects of hindsight." Bonin v. Calderon, 59 F.3d 815, 833 (9th
 23 Cir. 1995), cert. denied, ___ U.S. ___, 116 S.Ct. 718 (1996), and
 24 reh'g denied, ___ U.S. ___, 116 S.Ct. 977 (1996), quoting Campbell
 25 v. Wood, 18 F.3d 662, 673 (9th Cir. 1994) (en banc), reh'g and
 26 reh'g en banc denied, 20 F.3d 1050 (9th Cir. 1994), and cert.
 27 denied, ___ U.S. ___, 114 S.Ct. 2125 (1994). Thus, counsel's
 28 performance must be evaluated under the circumstances of the time

1 period in which the decision was made. Lockhart v. Fretwell,
2 506 U.S. at 368; Strickland v. Washington, 466 U.S. at 687.
3 Additionally, there is a presumption that under the circumstances
4 the challenged action might be considered sound trial strategy.
5 United States v. Quintero-Barraza, 78 F.3d 1344, 1348 (9th Cir,
6 1995), cert. denied, ___ U.S. ___, 65 U.S.L.W. 3259 (1996), citing
7 Strickland, 466 U.S. at 689.

8 The burden of establishing both prongs of the Strickland
9 standard lies with the petitioner. Kimmelman v. Morrison, 477
10 U.S. at 381; United States V. Olson, 925 F.2d 1170, 1173 (9th
11 Cir. 1991); United states v. Quintero-Barraza, 577 F.3d 836, 839
12 (9th Cir. 1995). If petitioner fails to sufficiently prove either
13 prong of the standard, the claim is extinguished. United States
14 v. Olson, 925 F.2d 1170, 1173 (1991).

15 Petitioner's burden required by the first prong, mandates
16 that he identify material, specific errors and omissions. United
17 States v. Molina, 934 F.2d 1440, 1447 (9th Cir. 1991). This
18 burden cannot be fulfilled through allegations that are merely
19 conclusory. Shah v. United States, 878 F.2d 1156, 1161 (9th Cir.
20 1989), cert. denied, 493 U.S. 869 (1989); United States v.
21 Schaflander, 743 F.2d 714, 721-22 (9th Cir. 1984), cert. denied,
22 470 U.S. 1058 (1985). "[S]trategic choices made after thorough
23 investigation of law and facts relevant to plausible options are
24 virtually unchallengeable; and strategic choices made after less
25 than complete investigation are reasonable precisely to the extent
26 that reasonable professional judgements support the limitations on
27 investigation." Bonin v. Calderon, 59 F.3d at 833 quoting,

1 Strickland v. Washington. “[A] particular decision not to
2 investigate must be directly assessed for reasonableness in all
3 circumstances, applying a heavy measure of deference to counsel’s
4 judgements.” Id, quoting, Strickland v. Washington. Furthermore,
5 the Ninth Circuit has recognized that it is not for the Court to
6 second guess counsel’s decisions. Bonin v. Calderon, 59 F.3d at
7 833; Campbell v. Wood, 18 F.3d at 673. The reasoning for such a
8 rigorous standard is that “[t]here are countless ways to provide
9 effective assistance in any given case. Even the best criminal
10 defense attorneys would not defend a particular client in the same
11 way.” Strickland v. Washington, 466 U.S. at 690-91, referencing,
12 Goodpaster, The Trial for Life: Effective Assistance of Counsel in
13 Death Penalty Cases, 58 N. Y. U. L. Rev. 299, 343 (1983).
14 Finally, were evidence is found to be admissible, counsel’s
15 failure to file a motion to suppress is not ineffective assistance
16 of counsel. United States v. Molina, 934 F.2d at 1447. (Court
17 also declined to address ineffective assistance of counsel claim
18 on inadequate pretrial investigation because the record did not
19 contain sufficient evidence to overcome presumption [atty didn’t
20 pursue defense that defendant wanted]).

21 The “purpose of the effective assistance guarantee of the
22 Sixth Amendment is not to improve the quality of legal
23 representation, . . . [it] is simply to ensure that criminal
24 defendants receive a fair trial.” Strickland v. Washington, 466
25 U.S. at 690-91. Therefore, pursuant to the second prong
26 (prejudice), petitioner must show that “counsel’s deficient
27 performance render[ed] the result of the trial unreliable or the
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1 proceeding fundamentally unfair.” Lockhart v. Fretwell, 506 U.S.
2 364, 368 (1993). In Lockhart, the Supreme Court went on to state
3 that “an analysis focusing solely on mere outcome determination,
4 without attention to whether the result of the proceeding was
5 fundamentally unfair or unreliable, is defective. To set aside a
6 conviction or sentence solely because the outcome would have been
7 different but for counsel’s error may grant the defendant a
8 windfall to which the law does not entitle him.” Lockhart v.
9 Fretwell, 506 U.S. at 368; United States v. Cronic, 466 U.S. 648,
10 658; United States v. Quintero-Barraza, 78 F.3d at 1348; United
11 States v. Palomba, 31 F.3d 1456, 1461 (9th Cir. 1994).

12 2. Naghdi’s Previous Counsel Was Not Ineffective In
13 Failing To Object To Naghdi’s Characterization as
An Organizer

14 Petitioner argues that Naghdi’s previous counsel (“counsel”)
15 was ineffective because counsel did not properly object to Naghdi
16 being characterized as an “organizer”. However, it is worth
17 noting, that counsel did object to organizer points, after the
18 Government sought such a characterization. (RTS at 47).

19 Within the same breath, Petitioner further alleges that
20 counsel directly caused this Court to find that Jack Russell was
21 the only co-conspirator. The evidence does not support this
22 conclusion. Counsel clearly objected to Naghdi being
23 characterized as an “organizer”, by alleging that Jack Russell was
24 the organizer of the criminal operation instead. Furthermore,
25 the government had already alleged that Jack Russell was a co-
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1 conspirator before the sentencing hearing had even started.^{16/} At
 2 the February 21, 1990 status hearing the government stated that it
 3 was obvious that Jack Russell was a co-conspirator. (RTSH III at
 4 22).^{17/}

5 At the time Naghdi was sentenced there was still some dispute
 6 as to whether §3B1.1 required more than one participant. The
 7 Ninth Circuit recognized this dispute, and provided a lengthy
 8 discussion on the reasoning behind its decision. U.S. v.
 9 Anderson, 942 F. 2d 606, 614-17 (1991), *abrogated on other*
 10 *grounds*, 508 U.S. 36 (1993).^{18/} Since this area was in dispute at
 11 the time of Naghdi's sentencing, it was reasonable for counsel to
 12 believe that an "organizer" characterization might not depend upon
 13 the existence of another participant. Consequently, if counsel is
 14 found to have stipulated to Russell being a co-conspirator, it was
 15 justified at the time, and was a proper strategic decision

16 Furthermore, as illustrated above, it is Petitioner's burden
 17 to overcome the "virtually unchallengeable" presumption that at
 18 that time, counsel's strategic decisions were competent. Bonin,
 19 quoting Strickland, *supra*. Therefore, since Petitioner has not
 20 provided any evidence with which to evaluate counsel's performance
 21 at the time in question, the presumption of competence must stand.

22
 23 ^{16/}Petitioner, mistakenly asserts that the government took the
 24 position that Jack Russell was a victim.

25 ^{17/}"RTSH III" refers to the report's transcript of the status
 hearing held on February 21, 1990.

26 ^{18/}The 9th Circuit, also recognized that the Fifth Circuit
 27 precedent could easily be interpreted as not requiring an
 additional participant. U.S. v. Anderson, 942 F. 2d at 617.

1 As previously noted, the district court correctly found
2 Naghdi to be an organizer. Thus, there was no ineffective
3 assistance of counsel on this issue. United States v. Molina,
4 934 F.2d at 1447. Even if counsel was deficient, the outcome
5 cannot be considered "unfair" or "unreliable", as Jack Russell was
6 properly found by the Court to be a co-conspirator. (RTS at 48).
7 This finding clearly made Naghdi eligible for "organizer" points.
8 In conclusion, because Naghdi was properly characterized as an
9 organizer, there was no prejudice, and the ineffective assistance
10 of counsel claim on this issue must fail.

11 3. Naghdi's Counsel Was Not Ineffective In Failing To
12 Object To The District Court's Determination Of
The Amount Of Loss

13 As noted above the district court properly determined the
14 amount of loss applicable to Naghdi's criminal activities.
15 Accordingly, counsel's failure to object was not deficient.
16 United States v. Molina, 934 F.2d at 1447. Even if counsel's
17 omission was deficient, it did not prejudice the defendant since
18 the amount of loss was properly determined.

19 4. Naghdi's Previous Counsel Was Not Ineffective In
20 Failing To Object To The District Court's
Consideration Of The Los Angeles Crime

21 As stated above the district court properly considered the
22 Los Angeles crime at the sentencing hearing. Thus, counsel was
23 not ineffective in failing to object to such evidence. United
24 States v. Molina, 934 F.2d at 1447. Even if counsel's failure to
25 object is considered deficient, Naghdi was not prejudiced by the
26 admission since such evidence is proper when evaluating the
27 appropriate sentence for the convicted.

5. Naghdi's Previous Counsel Was Not Ineffective In Failing To Present The CIA Defense

As stated above it is Petitioner's burden to overcome the "virtually unchallengeable" presumption that a counsel's strategic decisions are competent. Bonin, quoting Strickland, supra. However, Petitioner has offered no concrete evidence from which to evaluate counsel's actions. Because there is insufficient evidence with which to evaluate counsel, Petitioner's claim must fail.

First, Petitioner has produced no evidence whatsoever, that counsel's concern about Naghdi's self-incrimination rights was unfounded. Instead, Petitioner merely offers inappropriate, and distorting "hindsight" proof of counsel's alleged ineffectiveness. Bonin, at 833. Petitioner's only evidence of ineffectiveness is the unpublished appellate decision disagreeing with counsel's assessment of the situation. Consequently, since Petitioner has offered no evidence which evaluates counsel's actions at the time of performance, this claim too must fail.

Furthermore, Petitioner has not shown that counsel's decision was based upon the self incrimination concern. All that Petitioner has shown, is that at a status hearing counsel was concerned with his client losing protection against self-incrimination. Counsel could just as easily decided that this defense was not worth pursuing, or that it would conflict with the defense used at trial. This supposition is supported by the fact that there was not even enough evidence to support the issuance of the subpoenas as to high governmental officials. (RTSH I at 23,

1 and RTSH I at 31).^{19/} The affidavit signed by Naghdi under the
 2 penalty of perjury was only one alternative in which to authorize
 3 the issuance of the subpoenas. The district court gave appellant
 4 the opportunity to establish his position through any means
 5 possible. (RTCC at 13-14).^{20/} Because there was so little
 6 evidence, counsel could have merely used the argument for its
 7 appellate value. It is important to note that at the January 31,
 8 1990 in chambers conference, counsel was concerned with perjury
 9 charges being brought against his client. Counsel then tried to
 10 shield Naghdi from the possibility of perjury charges by alleging
 11 that the Fifth Amendment protected against a requirement that
 12 subjected Naghdi to the possibility of a perjury. (RTCC at
 13 17).^{21/} In the light of this evidence it is very likely that
 14 counsel decided that the defense was so flimsy that it did not
 15 warrant the possibility of a subsequent perjury charge.^{22/}

17 ^{19/}Specifically, the Court stated, "there's just not enough
 18 corroboration been submitted that would say that what is
 19 apparently inherently incredible may, still, in fact, be true
 20 because of the corroborated data." (RTSH I pg. 23 lines 17-20).
 "RTSH I" refers to the reporter's transcript of the status hearing
 held on February 1, 1990. "RTSH I" refers to the reporters
 transcript of hearing re subpoenas held on February 12, 1990.

21 ^{20/}"RTCC" refers to the reporter's transcript of the in
 22 chambers conference held on January 31, 1990.

23 ^{21/}At the status hearing counsel stated that "I suppose the
 24 issue is, if it was ever attempted to be used in a later Fifth
 Amendment -- in a later perjury proceeding" pg 17 of Jan. 31
 Status Hearing.

25 ^{22/}The government does not address the thoroughness of the
 26 investigation, as petitioner only alleges that counsel's strategic
 27 decision was ineffective. See Bonin, quoting Strickland supra.

1 According to the second prong (prejudice), the ineffective
2 assistance claim must also fail. Petitioner merely alleges that
3 Naghdi was not allowed a chance to present the CIA defense, he
4 does not make any attempt to show that the defense would have
5 materially affected the outcome of the case. (which is below the
6 standard required by the Supreme Court). In fact the evidence
7 suggests that the CIA defense was meritless. First, at the
8 sentencing hearing, the Court explicitly found that the
9 counterfeit pharmaceuticals existed. (The Court stated that it
10 found "overwhelmingly, that the drugs existed.") (RTS at 34-36).
11 Second, in the light of the failure of the Rule 17(c) subpoenas to
12 uncover any evidence whatsoever, the witness' would presumably
13 have badly damaged Naghdi's case.^{23/}

27 ^{23/}See also footnote 19 supra.

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF CALIFORNIA

JAVID NAGHDI,) Criminal No. 88-0768-K
) Civil No. 96-1528-K
Petitioner,)
) CERTIFICATE OF SERVICE
v.) BY MAIL
)
UNITED STATES OF AMERICA,)
)
Respondent,)
)

STATE OF CALIFORNIA)
) ss.
COUNTY OF SAN DIEGO)

IT IS HEREBY CERTIFIED THAT:

I, Teresa Martin am a citizen of the United States over the age of eighteen years and a resident of San Diego County, San Diego, CA; my business address is 880 Front Street, San Diego, California; I am not a party to the above-entitled action; and,

On this date I deposited in the United States mail at San Diego, California, in the above-entitled action, in an envelope bearing the requisite postage; Government's Response And Opposition To Petition Filed Under 28 U.S.C. § 2255, addressed to Job Serebrov, P.O. Box 1457, Siloam Springs, AR 72761-1457, the last known address at which place there is delivery service of mail from the United States Postal Service.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on October 21, 1996.


TERESA MARTIN